



SWING TRADING

COMPILATION

SYNOPSIS

Document Details various types of trading with a brief introduction and then a special focus on Swing Trading with the available Courses

ANONYMOUS

Author prefers to be anonymous. To assure you has enough experience as a Price Action Academician and more than decade long experience with IB

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INTRODUCTION

In the world of Stock and Commodities trading there are various forms of Analysis and trading.

FORMS OF ANALYSIS

Fundamental Analysis: Study is done on the company performance i.e. business and a future value is derived based on various Models. The analysis involves studying the various statements of the company i.e. Balance Sheet, Annual Reports, PNL Statement, CashFlows.

The analyst also performs various other analysis which will be explained in the Fundamental Analysis write up.

Technical Analysis: Study is done on the various price charts in conjunction with Volume, various indicators derived out of price and volume. This data is used for the future projection of prices and trade is taken based on the analysis and proper risk management.

Price, Volume and the acceleration, deacceleration are the key factors on which technical analysis is based. [There are various other Models like GANN, Eliot, Neo-Wave but all used Price, Swings of Price, Volume, Acceleration, Deacceleration of Price and Volumes, Relative analysis of Price and Volume]

Techno-Funda Analysis: Study is done on the various fundamental and price charts in conjunction with volume, economic events, etc. Under this stream Fundamental analysis is backed by technical and vice versa to get the best of both the worlds. Both Technical and Fundamental analysis are kept at apt level so we do not go in never ending loop of analysis.

TYPES OF TRADING

Day Trading

Position i.e. Buy or sell are taken in the market place with the intention to square off before close of market. This write up will details this style of trading

C/Fwd Trading

Position i.e. Buy or Sell [Futures or where Sales C/Fwd is permitted] is taken with the intention to square off the position the next day at open or during the next Day [Popularly known as BTST]



Swing Trading

Position i.e. Buy or Sell [Futures or where Sales C/Fwd is permitted] is taken with the intention to hold it for few days to weeks

Trend Trading

Position i.e. Buy or Sell [Futures or where Sales C/Fwd is permitted] is taken with the intention to carry the trade unless the trend has given indication to change

Options Selling Trading

Since option trading were introduced there are many ways to trade options i.e.

Direction Options Trade

Stratergy Based Options Trading

Options Selling

Hedging

Options + Stocks / Futures Strategies

Etc

GAMBIT OF SWING TRADING

INTRODUCTION

Swing Trading involves the following: -

- Profiting from the structure of the markets i.e. taking Buy/Sell positions to exploit the impulsive moves from the market
- These are short swings or moves which last from few days to weeks
- The trader normally will take positions Long / Short to exploit the short terms moves
- These moves not necessarily in the direction of the trend it could be counter trend as well
- Taking / Carrying short positions will require specialized skills

KEY POINTERS OF SWING TRADING

<https://www.youtube.com/watch?v=Bf6YKj-2Yr4>

- Involves good reading of price action, volume, **Market Breadth** etc
- This is a good way for a beginner since he / she can think taking his / her time i.e. time frames are higher and decision making is bit easier
- Profit potentials are higher when compared to day trading since the positions can be carried forward for the coming days
- Initially stay away from markets when there are major economic events
- Two key Pointers for Swing trading
 - Scanning for stocks
 - Understanding Overall Market Breadth
 - Understanding of Market Sentiment
 - Calendar of Key World and Local Economic Events

ADVANTAGES

- Ease of analysis, can be done by working professionals as well
- Larger moves can be exploited since positions are carried forward
- Position Size can be easily managed in cash markets

CHALLENGES

- Since positions are carried forward risk of Gap Down is always there
- Capital requirement will be higher since we need to carry the positions

DIFFERENT METHODOLOGIES OF SWING TRADING

[There might be many methodologies, but the below ones are experienced by me hence can explain in detail]

[You can refer to this as a source to start your journey for swing trading] [Have listed down both free and paid sources for your perusal]

WHAT WORKS IN SWING TRADING?

- PRICE ACTION, PRICE ACTION, PRICE ACTION [SOONER OR LATER YOU WILL COME HERE]
- COMBINATION OF PRICE ACTION + OTHER METHODS
 - MOMENTUM TRADING
 - Wycoff Methods
 - Techno-Funda Analysis
 - Exhaustion / Capitulation
 - CONTRACTION / EXPANSION OF PRICES
 - ATH – All Time High / 52 WEEK High stocks
 - Relative Strength Vis a Vis Index
 - Result season trading
 - Pull Back Trading

RISK MANAGEMENT

This involves the following aspects

- How to use your capital for trading
- Position Sizing
- Risk Per Trade
- How to manage OverNight Risk
- When to Scale Up [Increase Position Size]
- When to Scale Down [Decrease Position Size]

Sources to Study Risk Management:

- <https://www.youtube.com/watch?v=vAPLia6-jOQ>
- <https://www.youtube.com/watch?v=n5BtIStQQqA>
- <https://youtu.be/aUgaUeCmSOQ>
- <https://www.youtube.com/watch?v=eagPOn4fwkl>
- <https://youtube.com/playlist?list=PL9myHLrE5hrOgg9VGFwAFKm58-fuD4Kbo>
- Mark Minervini Books all of them

TRADING PSYCHOLOGY

- This involves your thought process i.e. Traders Mindset
- It is very important because this is like a business and unlike our day-to-day job does not have a constant source of income
- We are dealing with UNCERTAINTIES AND PROBABILITIES

Sources to Study

- <https://www.youtube.com/watch?v=B9Z9qUTTuhA>
- <https://www.youtube.com/watch?v=H7LKJ59yQow>
- <https://www.youtube.com/playlist?list=PL9myHLrE5hrOabBkSB-qnhWkTRXNuYWX3>
- All books and videos by Mark Douglas [Available freely on YouTube]

SWING TRADING – IN DEPTH

Swing trading is short term trading where we need to carry our positions for few days to weeks and participate in an impulse move i.e. a small directional move either in the direction of the trend [preferable] or against the trend [very advanced].

The position can be both long or short [to do this only in case we are highly proficient in the markets]

The below sources will give you a good introduction and then you can select which path interests you and you could take to dive deeper into the subject.

The side effects of these videos will be you will gain good knowledge on all the concepts and can take a combined approach.

SOURCES TO START

ULTRA BASICS

Two playlist to give you an introduction to Swing trading. These are very in-depth and here you can decide whether you are in for swing trading. [Free Sources]

- <https://www.youtube.com/playlist?list=PL9myHLrE5hrPQI6jQCNZ0KQsnvTsgENG>
- <https://www.youtube.com/watch?v=dFibByGQWak>

WYCKOFF INTRODUCTION

This is an introduction to Wyckoff method of trading. This is also a prominent method for swing trading which uses Pure price action. [Free Sources]

- <https://www.youtube.com/watch?v=K06GgbJwEv4>
- <https://www.youtube.com/watch?v=tTdy5srpW9Q>
- <https://www.youtube.com/playlist?list=PLcC23E6j6KaGYoaroVzVFuEwC7FMaSpAd>

STAGE ANALYSIS BASICS

This particular methodology is based on various stages that a stock can go through, developed by Stan Weinstein. [Free Sources]

- https://www.youtube.com/watch?v=Ux_uuOj-gKs
- <https://www.youtube.com/watch?v=G2gjQUJRfJM>

RELATIVE STRENGTH INTRODUCTION

This particular playlist will give you introduction on relative strength i.e. stock which are stronger when compared to the Index. [Free Sources]

- <https://www.youtube.com/playlist?list=PL9myHLrE5hrPf1zUPvsawiaf73saNHSZ9>

TRADING WITH PATTERNS

This is all inclusive video done by FTU Member Sai Roshan [Free Sources]

- <https://www.youtube.com/watch?v=kVt3a8GMLGs&t=1625s>

MOMENTUM TRADING

Momentum trading is the most widely practised methodology in swing trading and have many flavours of itself.

What is Momentum Trading:

It is form of swing trading where the trader tries to exploit quick move in stocks at pivotal junctions.

It could be stocks at 52W high / All Time High / Showing good strength i.e., strong upmove / Reversals

SUPER-PERFORMANCE STOCKS

This method involves finding stock which could create strong directional moves in very short period. Many traders go with Long only approach in this methodology, but one can even go for short after he / she has gained very understanding of the markets with practical experience of 5+ years.

Since this method is the most explored, I will be providing a very good path to learn this methodology in-depth both in terms of courses [paid / free] and books

WHAT YOU WILL NEED TO LEARN AND IMPLEMENT THIS METHOD

- GOOD KNOWLEDGE ON THIS ASPECT WITH THE SOURCES MENTIONED BELOW
- GOOD SCANNERS I.E. SOFTWARES TO GET GOOD SCANS TO SHORTLIST STOCKS
- ABILITY TO SHORTLIST STOCKS AND KEEP ALERTS TO ENTER THOSE WITH PROPER RISK MANAGEMENT

SOURCES FOR BASIC [FREE SOURCES]

- <https://www.youtube.com/watch?v=YYh5NYEpFAw>
- <https://www.youtube.com/channel/UCdDv9nBtpZMe6g3HIfyO0KQ>
- <https://www.youtube.com/watch?v=anWpGyXmG1k>
- <https://www.youtube.com/watch?v=aBo9F6IRli8>
- <https://www.youtube.com/playlist?list=PL9myHLrE5hrPRTNW9jZLLCCmFJ01TP5II>

POCKET PIVOT BOOTCAMP [FREE SOURCES]

<https://www.youtube.com/watch?v=NNcAG-PylxU>

https://www.youtube.com/watch?v=j9cEvu_xOgA&list=PLoFQeVGfN1RqxY3ktalFfSVa5wBd-PlkT&index=3

https://www.youtube.com/watch?v=FYMk6p_2Z6c&list=PLoFQeVGfN1RqxY3ktalFfSVa5wBd-PlkT&index=3

GOOD AUTHORS TWITTER HANDLES FOR MOMENTUM TRADING

Once you decide this method is for you then the hardwork start, but to our rescue there are more 1000's of examples real time available on Twitter and books

AUTHORS / TRAINERS

- **Kristjan** [Proven trader, resources are free, but on international market]
<https://qullamaggie.com/#>
 - ⇒ What works internationally works here as well
 - ⇒ You will need to take the effort to transpose
- **StockBees** [Pradeep Bonde]
<https://stockbee.blogspot.com/>
 - ⇒ Paid source via bootcamp
 - ⇒ Very good and implementable methods
 - ⇒ Will require to transpose since this is again international markets
- **Mark Minervini**
<https://minervini.com/home.php>
 - ⇒ Books are easily available
 - ⇒ Course is very expensive
 - ⇒ International Markets will require transpose to Indian Markets
 - ⇒ Books list has been mentioned in the books section
- **Manas Arora**
Twitter Handle **@iManasArora**
 - ⇒ Latest training is via BootCamp [Paid]
 - ⇒ Twitter handle is filled with 100's of live examples
 - ⇒ Very transparent handle [As per my little knowledge]
 - ⇒ Excellent grasp of Momentum trading
- **TradeWithTrend**
Twitter Handle **@ST_PYI**
YT Channel **YouTube.com/tradewithtrend**
 - ⇒ Course is available on YT with subscription
 - ⇒ There are two playlists which are focussed on Momentum / Swing Trading
<https://www.youtube.com/playlist?list=PL9myHLrE5hrOq5JJQwz45mT6hztNhKh4P>
https://www.youtube.com/watch?v=syXeaz9qZ5g&list=PL9myHLrE5hrOvkGQJByrAn12VP_YEZTCh
<https://www.youtube.com/playlist?list=PL9myHLrE5hrOIk1j7hMQjxt4zKaT69pFc>
 - ⇒ Focus is on Momentum trading with Price Action and relative strength
 - ⇒ Good handle and Channel to get all information at one place
 - ⇒ Very structured YT Channel with A grade content
- **Other Twitter handles for material and examples**
@PAVLeader <https://docs.google.com/document/d/1uyJ4clo4Kfh2arcMmg-1ooDvRwjZwLwgA8TP3YUmljA/edit>
@wetradecharts

GOOD BOOKS ON THIS SUBJECT

For book lovers these are the books available on this subject. Please do not think this is just a listing, it is an exhaustive coverage of books shortlisted after reading 100's of books.

1. Stan Weinstein's Secrets For Profiting in Bull and Bear Markets
2. Trade Like a Stock Market Wizard: How to Achieve Super Performance in Stocks in Any Market
3. How to Make Money in Stocks: A Winning System in Good Times and Bad, Fourth Edition
4. Trade Like a Stock Market Wizard: How to Achieve Super Performance in Stocks in Any Market
5. How to Make Money Selling Stocks Short
6. In The Trading Cockpit with the O'Neil Disciples: Strategies that Made Us 18,000% in the Stock Market (Wiley Trading)
7. Short-Selling with the O'Neil Disciples: Turn to the Dark Side of Trading (Wiley Trading)
8. The Perfect Speculator: How to Win Big in Up Markets and Lose Nothing in Down Markets
9. The Perfect Stock: How a 7000% move was set-up, started and finished in an astonishing 52 weeks
10. Monster Stocks: How They Set Up, Run Up, Top and Make You Money
11. Insider Buy Superstocks

TECHNO-FUNDA TRADING

This type involves getting the best of both worlds i.e. Fundamental + Technical.

Fundamentals are used to get the right companies in the Long Term Portfolio building and Technicals is used to enter, exit and manage risk of the positions

In the satellite portfolio i.e. secondary portfolio stocks are screened via Technical Analysis and then validated by Fundamentals to ensure you are in a solid company backed by good fundamentals.

The popular approach under this methodology is CANSLIM approach. This can be found both in Mark Minervini and William O Niel's books.

BASICS AND INTRODUCTION

<https://www.youtube.com/watch?v=Ms2B31rdHgw&t=9s>

<https://www.youtube.com/watch?v=FiUGDA7eMyU>

<https://www.youtube.com/watch?v=68lGmZ74Fi8>

COURSES ON THIS SUBJECT

International [PAID]

<https://www.piranhaprofits.com/courses/value-momentum-investing>

INDIAN [PAID]

<https://vivekmashrani.com/>

Both the courses are very exhaustive and to the point in terms of explanation.

KEY POINTS LEARNED DURING EXPLORING AND STUDYING THE ABOVE MATERIALS

- I. RISK MANAGEMENT AND PSYCHOLOGY ARE MANDATORY. You can use any other methods listed above or combination of them to trade
- II. Always focus on ACTION oriented learning i.e. that is focussed on execution of your strategy
- III. Calculate the returns on the basis of Capital Deployed and not in absolute returns
- IV. Any Technique does not work all the time. The key is TO STAY AWAY WHEN THE PARAMETERS ARE NOT MATCHING – MARKET BREADTH MEASURE IS THE KEY HERE
[https://docs.google.com/spreadsheets/d/19Obu4SoUuaTdFvVwoCFcLvl0p_DoyE4YTpg44gVQjsU/ed it#gid=0]
- V. When you are trading and have a lot of trades to your experience you will come to know that sometimes you will have to SCALE UP depending on circumstances and sometimes you need to stay away from the markets – THIS IS THE KEY
- VI. Not to HOP Systems unless it does not match your trading Style
- VII. Do not go by Profit Screen Shots – The good way to Show profits is like Companies Show in the Annual Reports all other ways to display profitability is a BLUFF
- VIII. Note down your shortcomings and try to slowly overcome them via guidance or self learning
- IX. Repeat what works for you and discard the ones which does not work for you
- X. Always see the results as a SET OF TRADES i.e. 20/30 Trades and check the outcome. Do not consider only one trade to determine the overall outcome
- XI. Swing trading can be scaled to very high levels i.e. huge capital deployment is also possible.
- XII. Markets are continuously evolving but the base concepts remain the same with incremental changes that need to be adopted

DISCLAIMERS & BEST PRACTICES

This document is based on exploring, studying, discarding, practising the above concepts either through taking the courses or studying from books.

The compilation is done based on the best of my information and for your perusal. Please excuse me on any mistakes or omissions there are tons of things that I might not be aware of or might be unexplored by me till now.

The above material is compiled for the ones who are searching for information at one place, this is sort of give back for the help **FTU Community** has given me till date.

Swing trading can also be practiced by working professionals. It requires commitment over weekend and daily around 1-2 hours. Hence you can continue your secured earnings and at the same time gain mastery over the subject. Key here is to place alerts and not to keep watching the markets during office hours.

Lastly if you are still reading then looks like you have a firing need to learn pick up a methodology from the above and start practising. To start with go through a method and see the examples from the sources mentioned above.

Take a method check it suits you, backtest and check if it works and then EAT, SLEEP, LIVE with that method. As per me approximately 3-12 months minimum only learning [Depending on your background, commitment etc] is required and 1-2 years or practise is required to become a profession SURGEON OF SWING TRADING.